

# City of San Bernardino Municipal Water Department

Continuing Disclosure Report fiscal year ended June 30, 2022

Affected Issuance(s):

\$34,445,000  
California Municipal Finance Authority  
Sewer Treatment Revenue Bonds, Series 2016





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# INTRODUCTION

## I. BACKGROUND

### **\$34,445,000 Sewer Revenue Bonds, Series 2016**

On December 28, 2016 the proceeds of the 2016 Bonds were used to (i) finance the acquisition and construction of additional capital improvements to the sewer treatment utility (the “Project”) of the City of San Bernardino Municipal Water Department (the “Department”); (ii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement for the 2016 Bonds; and (iii) pay the costs of issuance of the 2016 Bond

## II. CUSIP NUMBERS

The CUSIP numbers below have been provided for convenience of reference.

| California Municipal Finance Authority |           |
|----------------------------------------|-----------|
| Water Revenue Bonds, Series 2016       |           |
| Maturity Date                          | CUSIP*    |
| 8/1/2023                               | 13050TAG3 |
| 8/1/2024                               | 13050TAH1 |
| 8/1/2025                               | 13050TAJ7 |
| 8/1/2026                               | 13050TAK4 |
| 8/1/2027                               | 13050TAL2 |
| 8/1/2028                               | 13050TAM0 |
| 8/1/2029                               | 13050TAN8 |
| 8/1/2030                               | 13050TAP3 |
| 8/1/2031                               | 13050TAQ1 |
| 8/1/2032                               | 13050TAR9 |
| 8/1/2033                               | 13050TAS7 |
| 8/1/2035                               | 13050TAU2 |
| 8/1/2037                               | 13050TAW8 |
| 8/1/2041                               | 13050TBA5 |
| 8/1/2046                               | 13050TBF4 |

\*CUSIP is a registered trademark of American Bankers Association

## FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure Undertaking section of the Official Statement and the Continuing Disclosure Instruction.

### I. AUDITED FINANCIAL STATEMENTS

The Continuing Disclosure Undertaking section of the Official Statement states that financial statements are required as a part of the Annual Report for the fiscal year ended June 30, 2022. This document will be posted separately to the EMMA document repository.

### II. OPERATING DATA

#### A. TREATMENT PLANT CUSTOMERS

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Treatment Plant Customers |         |         |         |         |         |         |
|--------------------------------------------------------------------------------|---------|---------|---------|---------|---------|---------|
|                                                                                | 2017-18 | 2018-19 | 2019-20 | 2020-21 | 2021-22 | % Share |
| City                                                                           | 38,471  | 28,582  | 37,168  | 37,801  | 37,796  | 62.21%  |
| EVWD                                                                           | 19,527  | 19,527  | 19,527  | 19,797  | 19,742  | 31.97%  |
| Loma Linda                                                                     | 5,527   | 3,144   | 3,024   | 3,179   | 3,208   | 5.20%   |

Source: City of San Bernardino Municipal Water Department

#### B. HISTORICAL NUMBER OF SEWER TREATMENT CONNECTIONS

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Historical Number of Sewer Treatment Connections |         |         |         |         |         |  |
|-------------------------------------------------------------------------------------------------------|---------|---------|---------|---------|---------|--|
| User Type                                                                                             | 2017-18 | 2018-19 | 2019-20 | 2020-21 | 2021-22 |  |
| San Bernardino Residential                                                                            | 32,945  | 33,051  | 31,828  | 32,365  | 32,230  |  |
| San Bernardino Nonresidential                                                                         | 5,526   | 5,531   | 5,340   | 5,436   | 5,566   |  |
| EVWD Residential                                                                                      | 18,477  | 18,477  | 18,477  | 18,710  | 18,636  |  |
| EVWD Nonresidential                                                                                   | 1,050   | 1,050   | 1,050   | 1,087   | 1,106   |  |
| Loma Linda Residential                                                                                | 4,824   | 2,799   | 2,856   | 3,010   | 3,039   |  |
| Loma Linda Nonresidential                                                                             | 703     | 345     | 168     | 169     | 169     |  |

Source: City of San Bernardino Municipal Water Department

### C. HISTORICAL SOURCES OF SEWER TREATMENT ENTERPRISE REVENUES

#### CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Historical Sources of Sewer Treatment Enterprise Revenues

| Customer Type                 | 2017-18      | 2018-19      | 2019-20      | 2020-21      | 2020-21      | % Share |
|-------------------------------|--------------|--------------|--------------|--------------|--------------|---------|
| San Bernardino Residential    | \$10,135,132 | \$10,146,660 | \$10,191,481 | \$10,165,765 | \$14,359,415 | 43.06%  |
| San Bernardino Nonresidential | 8,834,641    | 8,645,032    | 8,463,554    | 8,292,874    | 7,279,215    | 21.83%  |
| EVWD Residential              | 4,765,218    | 4,778,152    | 4,778,152    | 4,797,833    | 5,011,215    | 15.03%  |
| EVWD Nonresidential           | 3,579,348    | 3,550,973    | 3,483,724    | 3,456,827    | 3,805,558    | 11.41%  |
| Loma Linda Residential        | 1,167,823    | 1,171,706    | 1,163,501    | 1,232,048    | 1,219,034    | 3.66%   |
| Loma Linda Nonresidential     | 1,548,574    | 1,557,119    | 1,622,872    | 1,642,250    | 1,673,445    | 5.02%   |
| Total                         | \$30,030,736 | \$29,849,642 | \$29,703,284 | \$29,587,597 | \$33,347,882 | 100.00% |

Source: City of San Bernardino Municipal Water Department

#### D. TOP TEN SEWAGE TREATMENT CUSTOMERS

##### CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT

##### Top Ten Sewage Treatment Customers

| Customer                      | Revenues         | Percent of Total |
|-------------------------------|------------------|------------------|
| SBCUSD                        | \$120,737        | 1.91%            |
| County of San Bernardino      | 116,369          | 1.85%            |
| St. Bernardine Hospital       | 49,388           | 0.78%            |
| PAMA Management Co.           | 48,844           | 0.77%            |
| Housing Authority             | 45,278           | 0.72%            |
| City of San Bernardino        | 39,475           | 0.63%            |
| Lido Condominiums             | 38,257           | 0.61%            |
| Village Green Chestnut, LP    | 36,685           | 0.58%            |
| Broadstone Investors LLC      | 32,767           | 0.52%            |
| W. Dean Weidner               | 32,073           | 0.51%            |
| <b>Top Ten Customer Total</b> | <b>\$559,873</b> | <b>8.88%</b>     |

Source: City of San Bernardino Audited Financial Statements

## E. CURRENT SEWER RATE SCHEDULE

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Current Sewer Rate Schedule |                     |                     |                                       |                               |
|----------------------------------------------------------------------------------|---------------------|---------------------|---------------------------------------|-------------------------------|
|                                                                                  | Effective<br>7/1/16 | Effective<br>7/1/17 | Effective <sup>(1)(2)</sup><br>4/1/22 | Unit of Charge <sup>(3)</sup> |
| <b>Monthly Charge (San Bernardino)</b>                                           |                     |                     |                                       |                               |
| Residential                                                                      | \$22.38             | \$23.10             | 37.83                                 | \$/Month/Account              |
| Multi-Family (2 Units)                                                           | 44.76               | 46.20               | 75.66                                 | \$/Month/Account              |
| Multi-Family (3 Units)                                                           | 67.14               | 69.29               | 113.49                                | \$/Month/Account              |
| Multi-Family, Mobile Home Parks (4 or more units)                                | 3.42                | 3.52                | 16.56                                 | \$/Month/Account              |
| Non-Residential                                                                  | 3.42                | 3.52                | 16.56                                 | \$/Month/Account              |
| Industrial                                                                       | 1.78                | 1.83                | 16.56                                 | \$/Month/Account              |
| <b>Monthly Charge (EVWD and Loma Linda)</b>                                      |                     |                     |                                       |                               |
| Residential                                                                      | 20.85               | 21.55               | N/A                                   | \$/Month/Account              |
| Multi-Family (2 Units)                                                           | 41.72               | 43.1                | N/A                                   | \$/Month/Account              |
| Multi-Family (3 Units)                                                           | 62.58               | 64.64               | N/A                                   | \$/Month/Account              |
| Multi-Family, Mobile Home Parks (4 or more units)                                | 1.9                 | 1.97                | N/A                                   | \$/Month/Account              |
| Non-Residential                                                                  | 3.42                | 3.52                | N/A                                   | \$/Month/Account              |
| Industrial                                                                       | 0.26                | 0.28                | N/A                                   | \$/Month/Account              |
| <b>Usage Charge (All Customers)</b>                                              |                     |                     |                                       |                               |
| Multi-Family (4+ Units), Mobile Home Parks                                       | 1.48                | 1.53                | 2.71                                  | \$/hcf                        |
| Retail, Commercial, Light Industrial                                             | 2.47                | 2.55                | 2.71                                  | \$/hcf                        |
| Auto Repair, Car Wash                                                            | 1.53                | 1.58                | 2.71                                  | \$/hcf                        |
| Offices, Motels (without Restaurants)                                            | 1.77                | 1.83                | 2.71                                  | \$/hcf                        |
| Restaurants, Hotels                                                              | 3.18                | 3.28                | 6.42                                  | \$/hcf                        |
| Laundromats                                                                      | 1.77                | 1.83                | 2.15                                  | \$/hcf                        |
| Hospitals, Convalescent Homes                                                    | 1.58                | 1.63                | 2.71                                  | \$/hcf                        |
| Schools, Churches, Nurse Schools                                                 | 1.29                | 1.33                | 2.15                                  | \$/hcf                        |
| Domestic Liquid Waste                                                            | 0.047               | 0.049               | 0.0714                                | \$/gallon                     |
| Industrial:                                                                      |                     |                     |                                       |                               |
| Discharge Flow                                                                   | 1,060.00            | 1,094.00            | 1,420.83                              | \$/MG                         |
| Biochemical Oxygen Demand Charge                                                 | 424.00              | 438.00              | 648.28                                | \$/1,000 lbs                  |
| Suspended Solids Charge                                                          | 753.00              | 778.00              | 648.50                                | \$/1,000 lbs                  |

(1) The Sewer Collection rate was combined with the Sewer Treatment rate to become the sewer rate effective 4/1/22

(2) Not all information available as of posting date

(3) \$/hcf is per hundred cubic feet ("hcf"); \$/MG is per millions of gallons of flow; \$/1,000 LBS is calculated by weight in pounds of biochemical oxygen demand and suspended solids in wastewater.

Source: City of San Bernardino Municipal Water Department

## F. SEWAGE TREATMENT RATE HISTORY

### CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Sewage Treatment Rate History

|                                       | 1996-2004 | 7/1/2004 | 1/1/2009 | 1/1/2010 | 2/1/2011 | 1/1/2012 | 10/1/2015 | 7/1/2016 | 7/1/2017 <sup>(1)</sup> | 4/1/22  |
|---------------------------------------|-----------|----------|----------|----------|----------|----------|-----------|----------|-------------------------|---------|
| Residential (monthly per EDU)         | \$13.25   | \$14.50  | \$15.25  | \$16.00  | \$17.00  | \$18.50  | \$20.65   | \$22.38  | \$23.10                 | \$37.83 |
| Commercial:                           |           |          |          |          |          |          |           |          |                         |         |
| Commodity Charge (per hcf)            |           |          |          |          |          |          |           |          |                         |         |
| Multifamily, mobile home parks        | 0.75      | 0.83     | 0.90     | 0.95     | 1.10     | 1.25     | 1.36      | 1.48     | 1.53                    | 2.71    |
| Retail, commercial, light industrial  | 1.10      | 1.70     | 1.80     | 1.90     | 2.00     | 2.10     | 2.28      | 2.47     | 2.55                    | 2.71    |
| Auto repair, car wash                 | 1.20      | 1.17     | 1.25     | 1.30     | 1.30     | 1.30     | 1.41      | 1.53     | 1.58                    | 2.71    |
| Offices, motels (without restaurants) | 0.95      | 1.32     | 1.40     | 1.50     | 1.50     | 1.50     | 1.63      | 1.77     | 1.83                    | 2.71    |
| Restaurants, hotels                   | 1.70      | 1.84     | 1.90     | 2.00     | 2.35     | 2.70     | 2.93      | 3.18     | 3.28                    | 6.42    |
| Laundromats                           | 0.90      | 1.15     | 1.25     | 1.30     | 1.40     | 1.50     | 1.63      | 1.77     | 1.83                    | 2.15    |
| Hospitals, convalescent homes         | 0.80      | 0.84     | 0.90     | 0.95     | 1.15     | 1.35     | 1.46      | 1.58     | 1.63                    | 2.71    |
| Schools, churches, nursery schools    | 0.50      | 0.62     | 0.65     | 0.70     | 0.90     | 1.10     | 1.19      | 1.29     | 1.33                    | 2.15    |
| Industrial:                           |           |          |          |          |          |          |           |          |                         |         |
| Discharge Flow (per million gal.)     | 826.67    | 816.10   | 860.00   | 900.00   | 900.00   | 900.00   | 977.00    | 1060.00  | 1094.00                 | 1420.83 |
| Biological Oxygen demand (per 1K lbs) | -         | 264.91   | 280.00   | 292.00   | 330.00   | 360.00   | 391.00    | 424.00   | 438.00                  | 648.28  |
| Suspended Solids                      | -         | 577.41   | 610.00   | 640.00   | 640.00   | 640.00   | 694.00    | 753.00   | 778.00                  | 648.50  |

(1) Rates through Fiscal Year 2020-21

Source: City of San Bernardino Municipal Water Department

## G. SEWER CUSTOMER ACCOUNTS RECEIVABLE AND SHUT-OFF BY FISCAL YEAR

### CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Sewer Customer Accounts Receivable and Shut-Offs By Fiscal Year

|                                                  | 2017-18      | 2018-19      | 2019-20      | 2020-21      | 2021-22 <sup>(6)</sup> |
|--------------------------------------------------|--------------|--------------|--------------|--------------|------------------------|
| Number of Accounts                               | 63,525       | 61,253       | 59,719       | 60,777       | 61,746                 |
| Sewer Revenue <sup>(1)</sup>                     | \$30,733,453 | \$30,546,181 | \$30,397,092 | \$30,361,116 | \$34,171,160           |
| Accounts Receivable <sup>(2)</sup>               | \$3,629,981  | \$3,564,238  | \$4,185,796  | \$3,594,312  | \$5,878,143            |
| Accounts Receivable over 120 Days <sup>(2)</sup> | \$152,637    | \$134,894    | \$430,371    | 3,594,312    | N/A                    |
| % of Total Sewer Revenues <sup>(3)</sup>         | 0.5%         | 0.4%         | 1.4%         | 3.8%         | N/A                    |
| Number of Shut-Offs <sup>(4)(5)</sup>            | 3,388        | 5,130        | 2,596        | 0            | N/A                    |

(1) Audited

(2) Amounts are as of June 30 and represent the receivable portion of billed customer accounts as of the end of each Fiscal Year.

(3) Percentage of Accounts Receivable over 120 days as compared to Total Sewer Revenues.

(4) Shut-Offs for non-payment may include shut-offs associated with the same account throughout the Fiscal Year.

(5) Due to the COVID-19 Pandemic in the FY 2020-21, there were no shut-offs performed as a result of non-payment.

(6) Not all information available by required posting date

Source: City of San Bernardino Comprehensive Annual Financial Reports with respects to "Sewer Revenue". The City of San Bernardino Municipal Water Department for all other line items

## H. STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN FUND FOR SEWER TREATMENT FUND

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Statements of Revenues, Expenses, and Changes in Fund Net Position for the Sewer Treatment Fund |                      |                      |                      |                      |                      |
|------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
|                                                                                                                                                      | 2017-18              | 2018-19              | 2019-20              | 2020-21              | 2021-22              |
| <b>Operating Revenues:</b>                                                                                                                           |                      |                      |                      |                      |                      |
| Charges for services                                                                                                                                 | \$30,030,737         | \$29,849,642         | \$29,703,284         | \$29,587,597         | \$33,347,882         |
| Other Operating Revenues                                                                                                                             | 702,716              | 696,539              | 693,808              | 773,519              | 823,278              |
| <b>Total Operating Revenues</b>                                                                                                                      | <b>\$30,733,453</b>  | <b>\$30,546,181</b>  | <b>\$30,397,092</b>  | <b>\$30,361,116</b>  | <b>\$34,171,160</b>  |
| <b>Operating expenses:</b>                                                                                                                           |                      |                      |                      |                      |                      |
| Administration and Customer Service                                                                                                                  | \$2,238,393          | \$3,436,525          | \$3,795,090          | \$3,970,170          | 4,159,046            |
| Utility Administration                                                                                                                               | 414,614              | 348,052              | 348,819              | 366,666              | 381,431              |
| Plant Operations                                                                                                                                     | 8,573,152            | 9,343,882            | 9,797,665            | 11,242,168           | 12,301,718           |
| Maintenance                                                                                                                                          | 2,916,533            | 3,041,620            | 3,508,534            | 3,811,413            | 3,764,618            |
| Environmental Control                                                                                                                                | 3,456,154            | 774,625              | 672,836              | 744,690              | 798,701              |
| Engineering                                                                                                                                          | 368,804              | 617,855              | 369,422              | 387,932              | 385,517              |
| General, Administration, and Overhead                                                                                                                | 572,291              | 2,990,975            | 1,559,065            | 6,292,313            | (873,930)            |
| Depreciation and Amortization                                                                                                                        | 4,157,550            | 4,313,147            | 4,596,980            | 4,507,869            | 4,329,178            |
| <b>Total Operating expenses</b>                                                                                                                      | <b>\$22,697,491</b>  | <b>\$24,866,681</b>  | <b>\$24,648,411</b>  | <b>\$31,323,221</b>  | <b>\$26,794,390</b>  |
| <b>Operating Income (Loss)</b>                                                                                                                       | <b>\$8,035,962</b>   | <b>\$5,679,500</b>   | <b>\$5,748,681</b>   | <b>\$(962,105)</b>   | <b>\$7,376,770</b>   |
| <b>Non-operating revenues (expenses)</b>                                                                                                             |                      |                      |                      |                      |                      |
| Investment Income                                                                                                                                    | \$(700,932)          | \$1,361,935          | \$1,322,367          | \$19,472             | (1,021,981)          |
| Rental Income                                                                                                                                        | 12,481               | -                    | -                    | -                    | -                    |
| Gain (Loss) on Asset Disposition                                                                                                                     | 6,063                | 9,417                | -                    | -                    | -                    |
| Gain (Loss) on Joint Venture- RIX                                                                                                                    | (1,184,655)          | (1,553,261)          | (1,514,219)          | (1,604,905)          | -                    |
| Interest Expense and Fiscal Charges                                                                                                                  | (1,376,009)          | (1,367,375)          | (1,313,151)          | (1,283,861)          | (1,249,715)          |
| Contributions to Other Agencies                                                                                                                      | -                    | (8,375,074)          | -                    | -                    | -                    |
| Other                                                                                                                                                | (32,652)             | (42,951)             | (32,176)             | (38,363)             | (16,310)             |
| <b>Total non-operating revenues (Expenses)</b>                                                                                                       | <b>\$(3,275,704)</b> | <b>\$(9,967,309)</b> | <b>\$(1,537,179)</b> | <b>\$(2,907,657)</b> | <b>\$(2,288,006)</b> |
| <b>Net Income (Loss) Before Capital Contributions</b>                                                                                                | <b>\$4,760,258</b>   | <b>\$(4,287,809)</b> | <b>\$4,211,502</b>   | <b>\$(3,869,762)</b> | <b>\$5,088,764</b>   |
| <b>Capital Contributions:</b>                                                                                                                        |                      |                      |                      |                      |                      |
| Capacity Fees                                                                                                                                        | \$861,894            | \$1,067,143          | \$1,484,473          | \$1,238,590          | \$2,294,541          |
| Other Capital                                                                                                                                        | 223,824              | 5,771,122            | -                    | -                    | -                    |
| Capital Contributions                                                                                                                                | 194,562              | 254,520              | 772,857              | 1,263,673            | -                    |
| <b>Total Capital Contributions</b>                                                                                                                   | <b>\$1,280,280</b>   | <b>\$7,092,785</b>   | <b>\$2,257,330</b>   | <b>\$2,502,263</b>   | <b>\$2,294,541</b>   |
| <b>Change in Net Position</b>                                                                                                                        | <b>\$6,040,538</b>   | <b>\$2,804,976</b>   | <b>\$6,468,832</b>   | <b>\$(1,367,499)</b> | <b>\$7,383,305</b>   |
| Net Position, Beginning of Year                                                                                                                      | \$101,504,294        | \$100,478,342        | \$103,283,318        | \$109,752,150        | \$112,721,487        |
| Prior Period Adjustment                                                                                                                              | (7,066,490.00)       | -                    | -                    | -                    | -                    |
| Net Position, End of Year                                                                                                                            | \$100,478,342        | \$103,283,318        | \$109,752,150        | \$112,721,487        | \$120,104,792        |

Source: City of San Bernardino Municipal Water Department

# **I. NET REVENUES AND DEBT SERVICE COVERAGE-SEWER TREATMENT FUND**

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Net Revenues and Debt Service Coverage-Sewer Treatment Fund |              |              |              |              |              |
|------------------------------------------------------------------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| Description                                                                                                      | 2017-18      | 2018-19      | 2019-20      | 2020-21      | 2021-22      |
| <b>Revenues</b>                                                                                                  |              |              |              |              |              |
| Operating Revenues                                                                                               | \$30,733,453 | \$30,546,181 | \$30,397,092 | \$30,361,116 | \$34,171,160 |
| Interest Income on Operating Funds                                                                               | (700,932)    | 1,361,935    | 1,322,367    | 19,472       | (1,021,981)  |
| Other Non-Operating Revenues                                                                                     | (20,171)     | (42,951)     | (32,176)     | (38,363)     | (16,310)     |
| Capacity Charge Revenue <sup>(1)</sup>                                                                           | 861,894      | 1,067,143    | 1,484,473    | 1,238,590    | 2,294,541    |
| Total System Revenues                                                                                            | \$30,874,244 | \$32,932,308 | \$33,171,756 | \$31,580,815 | \$35,427,410 |
| <b>Operation and Maintenance<sup>(2)</sup></b>                                                                   |              |              |              |              |              |
| Enterprise Expenses <sup>(2)</sup>                                                                               | \$18,539,941 | \$20,553,534 | \$20,051,431 | \$22,478,516 | \$22,465,212 |
| Total Operation and Maintenance Costs                                                                            | \$18,539,941 | \$20,553,534 | \$20,051,431 | \$22,479,000 | \$22,465,212 |
| <b>Net Revenues</b>                                                                                              | \$12,334,303 | \$12,378,774 | \$13,120,325 | \$9,101,815  | \$12,962,198 |
| <b>Senior Lien Debt Service</b>                                                                                  | \$2,272,782  | \$2,266,125  | \$2,266,225  | \$1,966,900  | \$1,967,775  |
| <b>Subordinate Lien Debt Service</b>                                                                             | -            | -            | -            | -            | -            |
| <b>Total Debt Service</b>                                                                                        | \$2,272,782  | \$2,266,125  | \$2,266,225  | \$1,966,900  | \$1,967,775  |
| <b>Senior Lien Debt Service Coverage</b>                                                                         | -            | -            | -            | -            | -            |
| <b>Total Debt Service Coverage</b>                                                                               | 5.43         | 5.46         | 5.79         | 4.63         | 6.59         |

(1) One-time fees payable at the time of development that represent a proportionate share of the cost of sewer treatment capacity.

(2) Calculated in accordance with the Installment Purchase Agreement. Operation and Maintenance Costs exclude depreciation and amortization. Non-Operating Expenses of "Gain/Loss on Asset Disposition" and "Interest Expense and Fiscal Charges" are not included

Source: City of San Bernardino Municipal Water Department

**J. PRINCIPAL AMOUNT OUTSTANDING**

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Principal Amount Outstanding |              |                                               |
|-----------------------------------------------------------------------------------|--------------|-----------------------------------------------|
| Bond Issue                                                                        | Issue Amount | Amount Outstanding as of<br>December 31, 2022 |
| Sewer Treatment Revenue Bonds, Series 2016                                        | \$34,445,000 | \$31,245,000                                  |

Source: City of San Bernardino Municipal Water Department

**K. RESERVE FUND BALANCE**

| CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT<br>Reserve Fund Balance |                             |                                                                |
|---------------------------------------------------------------------------|-----------------------------|----------------------------------------------------------------|
| Bond Issue                                                                | Reserve Fund<br>Requirement | Reserve Fund Balance as of<br>December 31, 2021 <sup>(1)</sup> |
| Sewer Treatment Revenue Bonds, Series 2016                                | \$1,968,962                 | \$1,968,962                                                    |

Source: City of San Bernardino Audited Financial Statements

(1) Updated information not available as of posting date